

Management's Discussion and Analysis of Financial Condition

Revenue for the quarter was \$12.48 billion. The increase was driven primarily by data center demand, partially offset by lower gaming volumes. Gross margin of 74.3% reflects a favorable product mix. Operating expenses grew 14% on higher research and development headcount. Diluted earnings per share of \$3.18 include a one-time charge.

Liquidity and Capital Resources

Cash, cash equivalents and marketable securities totaled \$31.4 billion. Net leverage was 18.4x on a trailing twelve month basis. The Company repurchased 4.1 million shares during the period.

(1) Includes (1,204) of other expense, net.

(2) Restructuring represented 0.7% of total revenue.

(3) Weighted average diluted shares of 2,461,000.